

External minimum requirements for own funds and eligible liabilities (MREs)

<https://www.bankofengland.co.uk/financial-stability/resolution/mrels-2025>

MREL is a requirement for firms to maintain a minimum level of equity and eligible debt, typically above minimum capital requirements (MCR), so they can be 'bailed in' or otherwise support a resolution should a firm fail. It is separate from a firm's capital requirements set by the Prudential Regulation Authority (PRA). The purpose of MREL is to help ensure that, when firms fail, the resolution authority can use these financial resources to absorb losses and recapitalise the continuing business and support its restructuring (Figure 1 below). This reduces the likelihood that governments use public funds to rescue failing firms and in effect 'bail out' their creditors as was the case during the global financial crisis that began in 2007.

MREL is typically set as a function of the MCR set by the PRA, as shown in Figure 1. This helps to ensure that MREs are set proportionately to firms' size and specific risks.